LIMURU TEA COMPANY LIMITED

P. O. BOX 42011, Nairobi 00100, Kenya
Telephone: Nairobi 532520

ANNOUNCEMENT OF RESULTS FOR THE TWELVE MONTHS ENDED 31 DECEMBER 2011

The Board of Directors is pleased to announce the company's results for the year ended 31 December 2011. The figures have been extracted from the company's audited financial statements which have received an unqualified audit opinion.

STATEMENT OF FINANCIAL POSITION			
	As At 31.12.2011		As At 31.12.2010
CAPITAL EMPLOYED	**Shs'000**		**Shs'000**
Share capital	24,000		24,000
Retained Earnings & reserves	116,710		86,327
Proposed dividends	9,000		9,000
Total equity	**149,710**		**119,327**
Deferred income tax	20,195		13,461
Post employment benefit obligation	15,850		14,321
Total equity and non-current liabilities	**185,755**		**147,109**
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	2,882		2,881
Biological assets	88,020		66,197
	90,902		**69,078**
Current assets			
Receivables and prepayments	90,400		82,993
Cash at bank and in hand	6,048		6,234
Current Income Tax	3,892		
Current Liabilities			
Payables and accrued expenses	5,487		6,193
Current income tax liability	-		5,003
Net current assets	94,853		78,031
	185,755		**147,109**

CONDENSED STATEMENT OF CASH FLOWS			
	Year ended 31.12.2011 Shs '000		Year ended 31.12.2010 Shs '000
Net cash from operating activities	8,954		6,040
Net cash used in investing activities	(140)		-
Net cash used in financing activities	(9,000)		(9,331)
(Decrease) / Increase in cash and cash equivalents	(186)		(3,291)
Movement in cash and cash equivalents			
At start of year	6,234		9,525
(Decrease) / Increase	(186)		(3,291)
At end of year	**6,048**		**6,234**

LIMURU TEA COMPANY LIMITED

P. O. BOX 42011, Nairobi 00100, Kenya
Telephone: Nairobi 532520

CONDENSED STATEMENT OF COMPREHENSIVE INCOME	Jan-Dec 2011 Shs '000	Jan-Dec 2010 Shs '000
Turnover	102,504	123,859
Profit before income tax	59,849	104,328
Income tax (expense)	(19,366)	(29,488)
Profit attributable to the shareholders	40,484	74,840
Other comprehensive income	(1,101)	(2,476)
Total comprehensive income	39,383	72,364
Issued shares of Shs. 20 each		
Earnings per share (Shs)	33.7	62.4
Total Dividends per share (Shs)	7.5	7.5

CONDENSED STATEMENT OF CHANGES IN EQUITY	Share Capital Shs '000	Retained Earnings & reserves Shs '000	Proposed Dividend Shs '000	Total Shs '000
Balance at 1 January 2010	24,000	22,963	9,000	55,963
Total recognised income for 2010	-	72,364	-	72,364
Dividends				
- Final for 2009 paid	-	-	(9,000)	(9,000)
- Proposed final for 2010	-	(9,000)	9,000	-
Balance as at 31 December 2010	24,000	86,327	9,000	119,327
Balance at 1 January 2011	24,000	86,327	9,000	119,327
Total recognised income for 2011	-	39,383	-	39,383
Dividends				
-Final Paid For 2010			(9,000)	
-Proposed final for 2011		(9,000)	9,000	
Balance as at 31 December 2011	24,000	116,710	9,000	149,710

COMMENTARY

Performance

In 2011 the company produced 2,837,080 kilograms of green leaf, which in turn was manufactured into 627,954 kilograms of black tea. The 25% drop in volume is attributed to a dry spell in first quarter of 2011 compared to the exceptional production in 2010.

The impact of the lower crop which was partially mitigated by better USD tea prices and a weaker Kenya Shilling reduced total revenues by 17% from Shs 123.9 million in 2010 to Shs 102.5 million in 2011. Cost of sales per unit increased by 29% due to reduced volumes and higher production costs.

LIMURU TEA COMPANY LIMITED

P. O. BOX 42011, Nairobi 00100, Kenya
Telephone: Nairobi 532520

Limuru Tea Company posted a pre tax profit of Shs 59.8 million in 2011 compared to Shs 104.3 million in 2010. It is important to note that part of this profit arose from a net gain in fair value of biological assets amounting to Shs 21.8 million, which is a non-cash contribution to the profit.

Dividend

The Directors recommend a final dividend of Shs. 7.50 per share, subject to approval by the shareholders at the Annual General Meeting scheduled for Friday 11 May 2012. The dividend shall be subject to withholding tax where applicable and will be payable to members on the register on 18th of April 2012 and the cash amount to be paid is Shs. 9,000,000.00.

Prospects

Crop volumes in the first quarter of 2012 have been better than 2011 due to good rainfall in 4th quarter of 2011. The 1st quarter of 2012 is however extremely dry and damages to tea bushes from repeated frost occurrences will impact negatively on the 2nd quarter crop volumes. USD tea prices continue to be favourable but the Kenyan Shilling has strengthened; if market conditions improve then 2012 should be an average year.

By Order of the Board

Bonnie Okumu
COMPANY SECRETARY
26 March 2012